All figures sourced from Government of Canada and Government of Alberta open data, Statistics Canada, federal and provincial statute, UN treaty, and peer-reviewed research.

Section 2.3 — CPP Disability: The Contribution That Was Captured

The Canada Pension Plan Disability benefit is the federal contributory benefit for working-age Canadians whose severe and prolonged disability ends their ability to work. It is the program that, more than any other in this document, demonstrates the structural pattern of federal-contribution capture by provincial programs. This Section walks CPP-D — what it is, who qualifies, what it pays, and what happens to the benefit when the recipient is also receiving provincial disability income assistance.

What CPP-D is

CPP Disability is a monthly federal benefit paid to contributors under age sixty-five who have a severe and prolonged disability that prevents them from working at any substantially gainful occupation. (*Source: Canada Pension Plan Act, R.S.C. 1985, c. C-8, sections 42-44; Service Canada — Canada Pension Plan disability benefit, 2026.*) The benefit consists of a flat-rate component plus a contributory component calculated against the recipient's CPP contribution history. The contributory component varies by individual contribution history; the flat-rate component is uniform across recipients.

For 2026, the maximum CPP-D benefit is approximately one thousand seven hundred and fifty-six dollars per month for a recipient with the maximum contributory history and meeting all eligibility criteria. (*Source: Service Canada — CPP Maximum Benefit Amounts, 2026; CPP Fact Sheet #4, April 2026.*) The average CPP-D benefit for new beneficiaries is substantially lower, in the range of one thousand one hundred to one thousand three hundred dollars per month, depending on the contribution profile of the new-beneficiary cohort in the relevant quarter.

A CPP-D recipient may also receive a CPP Children's Benefit for each dependent child under eighteen (or under twenty-five if in full-time post-secondary). The 2026 Children's Benefit is approximately three hundred and one dollars per month per child. The Children's Benefit is paid through the recipient and is intended to support the costs of dependent children.

Who qualifies

To qualify for CPP-D, an applicant must meet both medical and contribution criteria. (*Source: Canada Pension Plan Act, sections 42 and 44; Service Canada — Canada Pension Plan disability benefit eligibility, 2026.*)

The medical criteria require that the applicant have a "severe and prolonged" disability. "Severe" means the applicant cannot work regularly at any substantially gainful occupation. "Prolonged" means the disability is long-term, of indefinite duration, or likely to result in death. Both criteria must be met. The Service Canada adjudication process applies these criteria with substantial discretion. The denial rate for first-application CPP-D claims has historically been in the range of fifty to sixty per cent across the program's history. (*Source: Office of the Auditor General of Canada — Canada Pension Plan Disability program audits, multiple years; Council of Canadians with Disabilities — CPP-D Reform Submissions, 2018-2024.*)

The contribution criteria require that the applicant have made valid CPP contributions in four of the last six calendar years (the "contribution requirement"). Some flexibility exists for late applicants and for applicants with longer contribution histories, but the four-of-six rule is the standard test. (*Source: Service Canada — CPP disability eligibility, 2026.*) The contribution requirement is the rule that excludes many people from CPP-D — including workers with intermittent earnings, parents who took extended leave for caregiving, gig-economy workers with sporadic CPP-pensionable income, and workers whose disability emerged gradually over years during which their work declined before formally ending.

A worker who became disabled at age forty-two — the worker traced through Movement One — typically meets the contribution requirement, having worked steadily through the years before the disability. A worker who became disabled at age fifty-five after a decade of part-time, irregular, or self-employment income may not meet it. A parent who took five years of full-time childcare leave around the time their disability emerged may not meet it. The contribution requirement is structural. It does not consider the reasons for the contribution gap.

The application and the wait

The CPP-D application process requires medical documentation, contribution history confirmation, and personal narrative of the disability and its impact on work capacity. The application is reviewed by Service Canada adjudication staff, with medical input from internal physicians. (*Source: Service Canada — How to apply for CPP disability benefits, 2026.*) Initial decisions can take several months. Reconsideration of denied applications can take additional months. Appeals to the Social Security Tribunal can take more than a year.

For applicants who succeed, CPP-D is paid retroactively to the determined date of disability onset (subject to a maximum retroactivity period of fifteen months for most applicants). For applicants who are denied at the initial decision and pursue reconsideration and appeal, the multi-year process produces no income during the wait. Many applicants who would qualify on the merits do not survive the application process financially. They settle for less, withdraw the application, or accept provincial disability assistance at a lower benefit level rather than pursuing CPP-D through to the end of the appeals process.

The relationship to AISH

The structural significance of CPP-D, for the population traced through Movement One of this document, is its interaction with the provincial AISH program. Most working-age Albertans whose disability has ended their employment apply for both CPP-D (federal) and AISH (provincial), because the eligibility criteria for the two programs are non-identical and an applicant may qualify for one and not the other, or for both with different effective dates.

When an applicant qualifies for both, the operational reality is that AISH treats CPP-D as income and reduces the AISH benefit dollar-for-dollar by the amount of CPP-D received. (*Source: Government of Alberta — AISH benefits and exemption rules; Inclusion Alberta — AISH/CPP-D Briefing, 2025; Alberta Disability System Breakdown — AISH Evidentiary Report Series, April 2026, Section 7.*) An AISH recipient who qualifies for CPP-D at one thousand one hundred dollars per month sees their AISH benefit reduced by one thousand one hundred dollars per month. Their total monthly income is identical to the AISH-only amount. The CPP-D contribution they made through their working years produces no net income increase.

As of September 2025, sixteen thousand one hundred and sixty-one Albertans on AISH were receiving CPP-D. (*Source: Government of Alberta — Assisted Living and Social Services Open Data, AISH Caseload September 2025.*) That is twenty point four per cent of the AISH caseload — more than one in five recipients. Every one of these recipients made CPP contributions during their working years. Every one of these recipients qualified for CPP-D on the basis of those contributions and the medical eligibility test. Every one of these recipients receives zero net benefit from those contributions because of the provincial offset.

The structural pattern is clearest when stated this way: a person who paid into CPP for fifteen years before becoming disabled receives the same total monthly income as a person who never worked a day in their life and never made a CPP contribution. The fifteen years of contributions produce no advantage in the income the recipient actually receives. The provincial system captures the federal payment in full.

Why this is not reformed

The CPP-D-to-AISH offset has been documented and challenged for decades. Disability advocacy organizations have called for its reform repeatedly. Inclusion Alberta, the Council of Canadians with Disabilities, and the Canadian Centre for Policy Alternatives have produced analyses identifying the offset as inconsistent with the purpose of CPP-D. (*Source: Inclusion Alberta — Canada Disability Benefit in Alberta Fact Sheet, July 2025; Council of Canadians with Disabilities — CPP-D Reform Submissions, multiple years; Canadian Centre for Policy Alternatives — Income Security for People with Disabilities, 2022.*) The federal government's analysis during the development of the Canada Disability Benefit explicitly identified provincial offsets as a structural problem that would undermine the CDB's intended impact.

The offset has not been reformed because, in operational fiscal terms, it benefits the province at the expense of the federal government and at no cost to the province's payments to the recipient. The federal CPP-D payment arrives in the recipient's account. The provincial AISH cheque is reduced by the equivalent amount. The province's net outlay decreases by the amount of the federal payment. The federal government has paid CPP-D as if to support the recipient; the province has captured that payment as if to support its own balance sheet. The recipient is the unaffected party in the provincial balance, but the provincial balance has improved because of the federal contribution.

This is what the campaign's documents call "fiscal-transfer capture." It is not unique to CPP-D. The same pattern operates for the federal Canada Disability Benefit, which Alberta also claws back dollar-for-dollar. (*Source: Inclusion Alberta — Canada Disability Benefit in Alberta Fact Sheet, July 2025; Petit, G., "The Canada Disability Benefit and Provincial Clawback: A Fiscal Transfer Analysis," Canadian Tax Observatory, April 22, 2026.*) Alberta is the only province in Canada that applies the dollar-for-dollar CDB clawback. Other provinces apply partial offsets or no offset. The Government of Alberta has not, in any public statement, committed to ending the CPP-D offset under the post-July-2026 ADAP framework.

The federal government has not, in any public statement, committed to conditioning federal disability transfer payments on non-clawback compliance. The campaign's federal submission to the House of Commons Standing Committee on Human Resources, Skills and Social Development and the Status of Persons with Disabilities (HUMA) in April 2026 calls for the federal government to do exactly that. The submission argues that federal transfer payments designed to lift disabled Canadians above the poverty line should not be capturable by provincial program structures.

The conversion at sixty-five

CPP-D ends on the recipient's sixty-fifth birthday and is replaced by CPP retirement. (*Source: Service Canada — Canada Pension Plan disability benefit, conversion at retirement, 2026.*) The conversion is automatic. The recipient does not apply.

The conversion typically reduces the monthly amount. CPP-D includes a flat-rate component above the contributory portion; the flat-rate component does not carry into CPP retirement. CPP retirement is calculated against the full contributory record, with the disability dropout provision excluding the months on CPP-D from the calculation. The result, for most recipients, is a CPP retirement pension lower than the CPP-D pension was — typically several hundred dollars per month lower, depending on the recipient's working-years contribution history.

For the recipient who was on AISH throughout their working-age disability years, the conversion at sixty-five coincides with the end of AISH eligibility (which terminates at sixty-five for all recipients). The recipient transitions to CPP retirement plus OAS plus, where eligible, GIS. The CPP-D dollar-for-dollar offset that AISH applied no longer operates, because AISH no longer pays the recipient. But the GIS calculation, documented in Section 2.4, applies its own reduction structure. Each dollar of CPP retirement income reduces the GIS amount, depending on the recipient's marital status and total income, at a rate that approaches but does not always reach the dollar-for-dollar offset of the AISH-stage clawback. The federal CPP contribution is captured at a different rate by a different program. The capture continues.

The lifecycle observation

CPP-D is the working-age expression of the same federal-contribution-capture pattern that operates at the senior stage through GIS. The contributor who paid into CPP through their working years sees the federal disability benefit captured by the provincial AISH program, then sees the federal retirement benefit reduced by the federal GIS structure. At every stage, the contribution is in the system. At every stage, the recipient does not receive its full value.

This is the structural answer to the "what did I put in for?" question, posed at the working-age stage by an AISH recipient on CPP-D, and posed at the senior stage by a CPP retirement pensioner on GIS. The answer in both cases is the same. The contribution funded the program. The program operated on the contribution. The benefit was paid. The benefit was captured by the next program in the cascade. The recipient's net income was determined by the floor of the lowest-paying program in the cascade, not by the contribution that funded the highest-paying.

Section 2.4 walks the Guaranteed Income Supplement, the Allowance, and the Allowance for the Survivor — the income-tested federal programs that produce the largest single dollar capture of CPP retirement income at the senior stage, and that contain the partnership penalty mechanism in its most fully developed form.